

The negotiable gap was never in the labour rates — it sat in overhead and margin.

A field-services renewal was on course to roll forward historical rates. Rebuilding the supplier's economics from the cost drivers up moved the negotiation onto what the service should cost, and secured roughly £2M of total-cost optimisation with the incumbent retained.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Telecommunications	In-house category ownership · BT Group	Category & sourcing manager — renewal and negotiation	6 months

THE SITUATION

- A multi-year regional service-delivery contract was approaching renewal with no refreshed cost baseline behind it.
- Rates had been accepted historically, with no visibility of the supplier's cost build-up, so the renewal risked carrying inflated pricing forward.
- Savings could not come at the cost of continuity — pressing a regional incumbent too hard put field-service delivery at risk.

MY CONTRIBUTION

I led the renewal end to end: building the should-cost model from first principles across labour, productivity, materials, overhead and a fair margin; constructing a total-cost view that priced mobilisation, travel, service-level credits and rework; setting the negotiation strategy and walk-away position; and leading the supplier negotiation to close.

THE JUDGMENT THAT MATTERED

The negotiation that mattered was about complete service economics, not the headline day rate. A lower rate would have meant little if mobilisation, rework or disruption pushed total cost back up — so the ask was sequenced to protect continuity while still taking the margin gap.

WHAT THE WORK DELIVERED

- Approximately £2M of total-cost optimisation locked into the renewed contract across multiple levers.
- A defensible should-cost baseline left with the team, reusable to anchor the next renewal cycle.

EXHIBIT 1 Should-cost build-up against the quoted renewal

Indexed annual cost, by cost element · directional

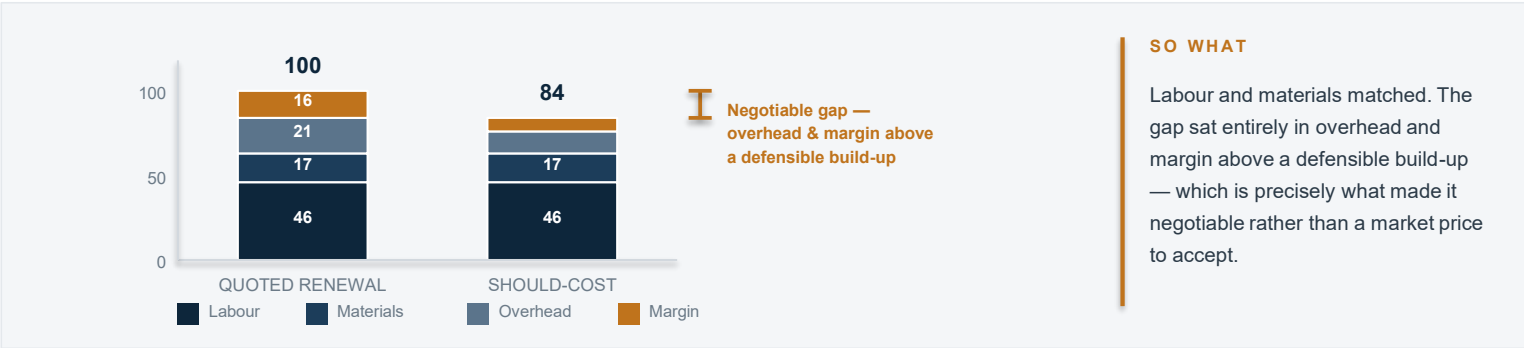


EXHIBIT 2 Total-cost optimisation, quote to signed contract

£M, annual contract value · rounded



HEADLINE

~£2M

total-cost optimisation secured